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June 30, 2015					
FEDERAL MARITIME COMMISSION					

FEDERAL MARITIME COMMISSION

INFORMAL DOCKET NO. 1947(I)

SALOMON AND JASMIN GRUENBERG-REISNER

v.

**OVERSEAS MOVING SPECIALISTS d/b/a
INTERNATIONAL SEA & AIR SHIPPING**

DECISION

Decision of Theresa Dike, Small Claims Officer¹

Reparations awarded in the amount of \$17,847.21.

I. INTRODUCTION

Claimants Salomon and Jasmin Gruenberg-Reisner initiated this proceeding on December 4, 2015, by filing a Claim at the Federal Maritime Commission ("FMC" or "Commission") alleging that Overseas Moving Specialists d/b/a International Sea & Air Shipping ("Overseas") violated 46 U.S.C. § 41102(c)² of the Shipping Act of 1984, in connection with their transportation of

1. Pursuant to 46 C.F.R. §502.304(g), this decision will become final unless the Commission elects to review it within 30 days of the date of service.

2. Section 10(d)(1) is now 46 U.S.C. §41102(c) following the re-codification of the Shipping Act on October 14, 2006.

Claimants' goods from the United States to Switzerland. Claimants also allege that Overseas made negligent misrepresentations to them and breached the terms of their Shipping Agreement. Claimants request reparations against Overseas for their alleged injury.³ Claimants sought adjudication as a small claims complaint pursuant to 46 C.F.R. Subpart S. Respondents did not object; therefore, this Claim is decided by a Small Claims Officer. 46 C.F.R. § 502.301.

As explained more fully below, Overseas violated Section 41102(c), and Claimants are awarded reparations in the amount of \$17,847.21. Claimants' other allegations are dismissed.

II. BACKGROUND

Overseas, an FMC-licensed non-vessel operating common carrier ("NVOCC"), quoted a rate of \$17,575 on April 11, 2014, to Claimants to transport their household goods, car, and motorcycle from Arlington, Virginia to Geneva, Switzerland. Under the quote, which indicated it was to be binding for a period of 60 days from the date signed by Overseas and Claimants, Overseas was to perform a "[d]etailed inventory list of all [Claimants'] belongings done by [Overseas'] movers prior to loading." Claim Exhibits A and B at pages 2-3. In addition, Overseas agreed to supply a 40-foot container to ship Claimants' household goods and personal effects, and a 20-foot container to ship Claimants' car and motorcycle.⁴ Claimants provided Overseas the measurements for the car and motorcycle, and purchased marine insurance from Overseas for their goods. On April 21, 2014,

3. Claimants initially alleged that they "have suffered damages in excess of \$44,000.00" in their Claim. In a later filing responding to my request for supplemental information, Claimants contend that they "have extra cost of at least \$42,434.43, plus incidental fees and accruing attorneys' fees."

4. Other services under the quote included: "Arrival on the scheduled day/s with a professional packing crew and a truck; Disassembling of furniture, as required; Full Packing and Packing Materials, using the finest material available to insure maximum protection require for overseas shipping [sic]; Loading to a truck or a shipping container at [Claimants'] residence; Up to 30 days of free storage at origin for [Less than Container Load] shipments; Consolidation prior to shipping at [Overseas'] warehouse; Delivery to the port of exit; Export Documentation; Payment of ocean freight to the port of destination; Custom clearance at destination [sic]; Delivery to residence at destination; Unloading into

Claimants signed a Shipping Agreement prepared by Overseas.

On April 26, 2014, Claimants received a signed "Export Shipment Information" form from Overseas indicating that the shipment arrival date would be mid-August 2014, but that the destination address was "not yet determined." On May 9, 2014, Overseas' agent, Shipping Solutions Worldwide, Ltd. ("Shipping Solutions"), surveyed Claimants' residence and prepared an inventory list of the goods to be transported to Geneva. Shipping Solutions assured Claimants that "it would be tight, but . . . both the automobile and the motorcycle would fit into the twenty-foot container." On June 3, 2014, Overseas' movers arrived at Claimants' residence to pack and pick up the goods to be transported. The movers then informed Claimants that the 40-foot and 20-foot containers would not be sufficient to move all of Claimants' goods and obtained permission from Claimants to transport the overflow items to Overseas' warehouse to be loaded into another container for shipping. The crew completed pick up of the goods on June 6, 2014, and prepared an inventory list, which Claimants signed.

On June 10, 2014, Claimants received another Shipping Agreement from Overseas indicating that an additional \$9,925.00 was owed for a second 20 foot container used to load the items that did not fit into the containers initially supplied by Overseas. On the same day, Claimants also received an invoice from Overseas for \$41,510.03.⁵ In total, Claimants paid \$40,262.46 to Overseas.

On August 6, 2014, Overseas delivered Claimants' car and on August 13, 2014, a portion of

[Claimants'] residence; Set up of all boxes and furnitures in designated rooms [Sic]; Assembling of simple furniture that does not require third party handling; Same day removal of debris."

5. The \$9,925.00 amount reflected charges in the amount of \$8,550 for a 20-foot container, \$1,250 for "full packing", and \$125 for "documentation." The charges under the \$41,510.03 invoice are as follows: \$8,550.00 for "20 ft. container," \$10,300.00 for "40 ft. container," \$250 for "documentation," \$3,200 for "full packing," \$5,400 for "car shipping in 20 ft. container," \$175 for "Motorcycle Export Documentation," \$325 for "motorcycle handling," \$375 for "Car Bracing and Loading," \$531.29 for "U.S. THC for the 20 ft. container with car," \$782.84 for U.S. THC for the 40

Claimants' remaining goods. On October 15, 2014, Overseas completed delivery of Claimants' goods. Claimants state that some of their goods were delivered damaged and some are missing. Claimants filed an insurance claim but have not yet been reimbursed.

On December 4, 2014, Claimants initiated this proceeding seeking reparations against Overseas, alleging that Overseas violated Section 41102(c) of the Shipping Act by overcharging Claimants and delaying delivery of their goods, made negligent representations to Claimants, and breached the Shipping Agreement. On December 15, 2014, the Commission served a copy of the Claim on Overseas, and on January 9, 2015, Overseas filed a response and authorized adjudication of this proceeding under the Commission's informal procedures at 46 C.F.R. at Subpart S. On April 11, 2015, I ordered the parties to provide supplemental information in accordance with 46 C.F.R. § 502.304(a) of the Commission's Rules. Claimants and Overseas both filed responses and Claimants filed a reply to Overseas' response. The evidence in this proceeding thus consists of the Claim, Response by Overseas, Supplemental Responses from the parties and the Reply from Claimants.

A. Claimants' Allegations:

Claimants contend that Overseas "purposely and in bad faith" increased the contract price. Claim at 2. They assert that because prior to picking up their goods Overseas had conducted a survey of the goods to be transported, had received the exact measurements of the vehicles, and its representative had assured Claimants that while "it would be a tight fit," both the car and motorcycle would fit into the twenty-foot container," Overseas "knew, or should have known, how much space would be needed for the automobile and the motorcycle along with Claimants' other household property" by virtue of "the nature of [Overseas's] trade." Claimants' Supplemental Response

ft. container; \$627.43 for "US Terminal Handling Charges for the 20 ft. contain," [sic] \$2533.47 for "fuel surcharge,"

(Claimants' Supp. Res.) at 2-3.

Claimants opine that Overseas improperly loaded their motorcycle in the 40-foot container at a diagonal position using a large number of two-by-four wooden planks to construct a hold for the motorcycle in that diagonal position rather than placing the motorcycle in a parallel position, thus unnecessarily using up space that should have been available for other goods and leaving Claimants no choice but to purchase additional container space for their overflow items. Claim at 3-4; Claimants Supp. Res. at 4. In addition, Claimants allege that Overseas "grossly misrepresented the space requirements" to ship their goods so that Overseas could impose additional charges for their shipment which Claimants would have no choice but to pay. Claimants Supp. Res. at 4. Claimants assert that Overseas unjustifiably delayed delivering their goods, converted their personal property in bad faith, and caused them to face increased risks and penalties by improperly handling the processing of their shipment in transit. Claim at 2.

Claimants state that when they initially inquired when their goods would arrive, Overseas informed them the estimated delivery date was June 27, 2014, but later changed the date of the estimated delivery to July 7, 2014. Claimants maintain that after delivering their car on August 6th, Overseas informed them on August 8, 2014, that their remaining goods would be delivered on August 13th and 14th but despite that assurance only partially delivered their goods on August 13, 2014, failing to complete delivery until October 15, 2014. According to Claimants, an Overseas representative subsequently explained to them that Overseas did not have a truck large enough to deliver Claimants' entire shipment in one trip. Claimants maintain that Overseas refused to communicate with them as to why there was a delay in delivering the goods or to respond to their

\$8,220.00 for "Insurance," \$65 for "Insurance Policy," and \$175.00 for "auto export documentation."

questions regarding the whereabouts and condition of the goods. Claim at 1.

Claimants state that after they paid Overseas' invoice charges, Overseas increased the transportation prices and imposed additional charges, but provided no evidence to show that those charges were valid and would not deliver Claimants' goods until the charges were paid, leaving Claimants no choice but to pay the new charges. Claimants' Supp. Res. at 20-23. Claimants assert, moreover, that some of those additional charges were either already covered in the Shipping Agreement or incurred through "negligent misconduct" by Overseas or its failure to timely perform the arrangements to transport Claimants' goods. *Id.* at 21. They state that as an example, Overseas twice charged them for the use of an outside elevator to deliver their goods to their apartment even though the need to use the outside elevator on the second occasion was caused by Overseas' failure to deliver all of their goods during the first trip.

With regard to their cargo loss⁶ and damage claim, Claimants contend that the damage to their car occurred because Overseas failed to follow the handling instructions Claimants provided to Overseas. Claim at 2. Claimants allege that Overseas failed to declare their motorcycle at Swiss Customs, impairing Claimants' ability to legally register and insure it in Geneva, and "possibly forged" the Swiss 18.44 car importation form so that Overseas could import and deliver the car separately from the motorcycle. *Id.* at 2.

B. Overseas' Response:

Overseas states that the contract with Claimants was based on a negotiated rate arrangement and that the quote to transport Claimants goods was an "estimate based upon a survey of all of the

6. In their supplemental response, Claimants list the missing items as: "[T]he key that locks the Claimants' wooden closet;" pieces of assembly and several supporting legs of the Claimants' master bed; one Apple iPhone 1; one Montblanc Meisterstück 149 fountain pen; and, "a small unique antique statute of the Atomium in Brussels."

items identified by Claimants for the move . . . subject to adjustment based upon the actual items being moved and the terms of Overseas' standard Shipping Agreement." Response at 1. Overseas explains that the crew it sent to pack Claimants goods determined that the goods would not fit into the 40-foot container and a "significant amount" of household goods and personal effects still remained after the container was filled. Overseas explains that "it was determined that the motorcycle would not (as originally anticipated) fit into the twenty (20) foot container. As a consequence, the motorcycle was loaded into the forty (40) foot container." Respondent's Supplemental Response ("Respondent's Supp. Res."). at 3. Overseas states that Claimants authorized the transportation and storage of the overflow items at its warehouse in New York, and agreed to pay the additional charges for a second 20-foot container. Id. at 1-2. Overseas asserts, moreover, that all of the charges submitted to Claimants were in accordance with the terms of the Shipping Agreement or were incurred due to specific changes requested by Claimants. Id. at 3. Overseas states that "[d]espite diligent efforts, the agent [Overseas sent to survey Claimants' residence] is unable to locate his notes from the survey that he conducted on May 9, 2014." Id.

With regard to Claimants' cargo loss and damage claim, Overseas contends that the inventory list of items shipped indicates that only eight out of the approximately 500 items shipped by Claimants are missing, and that no items appear to have been damaged or broken. Overseas states that although Claimants purchased a marine insurance policy, Claimants failed to file a claim under the policy for the allegedly lost and missing items, and did not submit an itemized list or description of the items in question or documentation supporting their claim for damages. Response at 3.

Overseas asserts, moreover, that Claimants are responsible for certain services not covered by

the quote.⁷ Id. Overseas submitted invoices from its destination agent, World Freight Relocations (“WFR”) and explains that it “has requested additional back-up documentation from the agent and as of the date of this submission has not received all of this additional back-up,” but that the “additional information will be provided to the Small Claims Officer and the Claimants’ attorney as soon as it is received.” Respondent’s Supp. Res. at 4.

As for the charges for “intensive Customs inspection,” Overseas explains that in addition to the WFR invoice submitted, Overseas “has requested additional back-up documentation from the agent and as of the date of this submission has not received all of this additional back-up.” Overseas promises that “any additional information it receives will be provided to the Small Claims Officer and Claimants’ attorney as soon as it is received.” Id. Overseas maintains that demurrage charges incurred on the shipment were not passed on to Claimants. It asserts that any delays in delivering Claimants’ goods was caused by Customs inspection of the goods in Rotterdam, as well as the need to obtain a street permit prior to delivering the goods to the destination address, over which Overseas had no control. Id. Overseas promises to submit additional evidence regarding the charges for the street permit when received from its agent.⁸ Id.

III. DISCUSSION

A. Negligent Representation and Breach of Contract Allegations

As an initial matter, Claimants’ allegations that Overseas made negligent representations to

7. Overseas lists the services in question as: port charges/ customs duties/ taxes at destination; intensive customs inspection/x-ray/fumigation/quarantine; storage and demurrage charges; charges resulting from long distance carry, shuttle service, excessive time spent and labor (disassembling/reassembling complicated furniture, handling of electronics, china, other fragile items, etc.); complicated accesses, higher floors walk-up and walk down (over the second floor); parking permit (if required); and fuel surcharge.

8. Claimants raised a general objection to Overseas’ statements that it would produce evidence from its agent at a later time, on the grounds that doing so would deprive Claimants of their right to respond to the evidence.

them regarding their shipment and that Overseas breached the Shipping Agreement are dismissed for failure to state a claim. Generally, “allegations essentially comprising contract law claims should be dismissed unless the party alleging the violation successfully rebuts the presumption that the claim is no more than a simple contract breach claim.” *Cargo One, Inc. v. COSCO Container Lines, Co., Ltd*, 28 S.R.R. 1635, 1645 (FMC 2000). Claimants’ breach of contract allegation is subject to dismissal because the Shipping Act bars the Commission from “hearing those claims, which, although couched in terms of alleged violations of the 1984 Act, seek remedies that would otherwise be available in a breach of contract action if the matter were brought before a court.” *Western Overseas Trade and Dev. Corp. v. ANERA*, 26 S.R.R. 874, 884 (FMC 1994). Similarly, “arguments concerning misrepresentations . . . are defenses to common law contract actions for breach of contract and do not present meritorious claims under the 1984 Act.” *Universal Fixture Mtg. Co., Inc. v. Asia North America Eastbound Rate Agreement*, 26 S.R.R. 1461, 1465 (FMC 1962).

B. 46 U.S.C. § 41102(c) Allegations

Claimants allege that Overseas violated section 41102(c), by increasing the contracted transportation charges and refusing to release the shipment unless Claimants paid the additional charges, delaying delivery of Claimants’ goods without justification, converting Claimants’ property, and causing Claimants to face the possibility of penalties and inability to register or insure their motorcycle due to their failure to declare the motorcycle at Swiss Customs. Section 41102(c) provides that common carriers, marine terminal operators and ocean transportation providers may not fail to “establish, observe, and enforce just and reasonable regulations and practices related to or connected with receiving, handling, storing, or delivering property.”

The Commission has found that a common carrier or ocean transportation intermediary (OTI)

that forces a shipper to pay higher charges than contracted by holding the shipper's cargo hostage, or that unduly delays delivery of a shipment is guilty of violating section 10(d)(1). *See, e.g., Eastern Mediterranean Shipping Corp. d/b/a Atlantic Ocean Line and Anil K. Sharma – Possible Violations of Sections 10(a)(1), 10(b)(1) and 10(d)(1) of the Shipping Act of 1984*, 28 S.R.R. 791, 795 (ALJ 1999), admin. final Mar. 9, 1999 (finding that the respondent violated Section 10(d)(1) because cargo entrusted to it for shipping “often arrived weeks or months after the original quoted time of arrival [due to “its actions or inactions”] and shippers even had to pay additional freight.” The respondent in that proceeding was also found to have violated Section 10(d)(1) because it “made it necessary for the shippers to pay storage and demurrage charges in order to receive their cargo, or made them have to pay more freight after the cargo had arrived at destination for the same purpose”). *See also Yakov Kobel and Victor Beerkovich v. Hapag-Lloyd A.G., Hapag-Lloyd America, Inc., Limco Logistics, Int'l TLC, Inc.*, 32 S.R.R. 1720, 1736 (FMC 2013)); *Total Fitness Equip. v. Worldlink Logistics, Inc.*, 28 S.R.R. 534 (FMC 1998) (finding that an OTI violated section 10(d)(1) for knowingly overcharging the shipper); *Bernard & Weldcraft Welding Equip. v. Supertrans Int'l, Inc.*, 29 S.R.R. 1348, 1354 (ALJ 2003), admin. final Feb. 12, 2003 (finding that an NVOCC that holds “cargo hostage to its demands for more money which the innocent cargo owner had no legal obligation to pay” has violated section 10(d)(1)); *Brewer v. Maralan*, 28 S.R.R. 1331 (ALJ 2001), admin. final Jan 3, 2001 (finding that an NVOCC violated section 10(d)(1) for holding a shipper's cargo until the shipper paid a rate amount which was four times higher than the contracted rate).

In this case, Claimants and Overseas entered into a negotiated rate agreement to transport Claimants' goods for \$17,575. Despite this agreement, Overseas forced Claimants to pay \$40,262.46, more than double the contracted price, by refusing to deliver Claimants' goods unless

Claimants paid the additional charges. For the following reasons, I find that Overseas was not entitled to collect most of the additional charges it imposed:

1. Additional Charges for the Second 20 foot Container

Overseas guaranteed the quoted charges of \$17,575 to transport a 40-foot and a 20-foot container for a period of 60 days from the date of the Shipping Agreement between the parties, subject to the survey it undertook to perform on Claimants' residence prior to pick up of the goods being shipped. Overseas states in its Response that the quoted price "was based upon a survey of all the items identified by Claimants for the move and was subject to adjustment based upon the actual items being moved and the terms of . . . [the] Shipping Agreement." Response at 1. Claimants signed the Shipping Agreement on April 21, 2014 and Overseas completed pick up of Claimants' shipment by June 6, 2014, well before the expiration of the quote.

Shipping Solutions, the agent Overseas hired to perform the survey, completed the survey on May 9, 2014. Claimants state that after the survey, the agent assured them that "it would be tight, but . . . both the automobile and the motorcycle would fit into the twenty foot container." Overseas submitted an unsworn letter from Shipping Solutions in which the agent who performed the survey confirms that after performing the survey, he "suggested a forty (40) foot container for the household goods and personal effects and a twenty (20) foot container for the car and a motorcycle." Respondent's Supp. Res. Exhibit A. The agent maintains in the letter that he cannot locate a copy of the survey "as this did not result in any contract or binding agreement with either Boaz Avani [the owner of Overseas], Overseas Moving or Mrs. Gruenberg-Reisner [the Claimant]." Id. Although, as previously indicated, the agent assured Claimants that their goods would fit into the containers allotted to move Claimants' goods for the quoted amount, and Overseas, through its agent, Shipping

Solutions, had constructive notice of the results of the survey, between May 9, 2014, when the survey was performed, and June 3, 2014, when its packing crew arrived to move Claimants' goods, Overseas made no effort to advise Claimants that the price of the move had changed, thus depriving Claimants of any opportunity to explore other shipping options.

Additionally, Overseas failed to provide justification for its failure to load Claimants' car and motorcycle into the 20-foot container, merely stating in its response to my request for supplemental information that "it was determined that the motorcycle would not (as originally anticipated) fit into the twenty (20) foot container. As a consequence, the motorcycle was loaded into the forty (40) foot container." As a licensed NVOCC, deemed to be a competent ocean transportation intermediary, Overseas assured Claimants that the allotted containers would be sufficient to carry all their goods. Claimants were entitled to rely on that assurance. Had the car and motorcycle been loaded into the 20-foot container as Overseas represented to Claimants, the entire 40-foot container would have been available to load Claimants' household goods and personal effects.

Moreover, Overseas does not contend that Claimants shipped more goods than expected, and has failed to produce the results of the survey for comparison against the inventory of the goods actually shipped. Thus, there is no evidence to suggest that Claimants shipped more goods than agreed upon by the parties for the quoted price. "It is a familiar rule of evidence that a party having control over information bearing upon a disputed issue may be given the burden of bringing it forward and suffering an adverse inference from failure to do so." *Alabama Power Co. v. Federal Power Comm'n*, 511 F.2d 383, 391n.14 (D.C. Cir. 1974). I, therefore, find that Overseas was not entitled to collect any additional charges related to the second 20-foot container.

2. Other Additional Fees

Similarly, I find that Overseas was not entitled to collect certain pass-through charges it invoiced to Claimants as terminal handling charges, customs examinations fees, fuel surcharges, local port charges, parking permits, “blocking the road charges,” and “additional floors charges.” When asked to produce the invoices from the originating authorities, Overseas merely submitted invoices from its own agent. As explanation, Overseas asserted that it “has requested additional back-up documentation from the agent and as of the date of [Overseas’] submission has not received all of this additional back-up.” As the party with control over the evidence supporting the validity of the disputed charges, it is incumbent upon Overseas to come forward with the necessary evidence or face a negative inference. Overseas is accountable for any failure by its agent to produce the requested evidence. *See Alabama Power*. “Fundamental agency law indicates that in a situation where an agent acts on behalf of a disclosed principal, and the agent had authority to act, the principal is liable for the agent’s actions.” *Total Fitness, supra*, 28 S.R.R. at 540. Overseas cannot avoid its duty to substantiate its invoices by passing the responsibility to do so on to its agent. Although Overseas indicated in its Supplemental Response on March 11, 2015, that it would submit additional documentation substantiating the extra charges when obtained from its agent, no such evidence has been received. Because of Overseas’ failure to come forward with the actual invoices for the diverse additional charges, the record contains no verification of the charges from the authorities that purportedly imposed them. As a result, the evidence does not show that Overseas was

entitled to impose those charges. The charges in question are as follows –

i. U.S. Terminal Handling Charges

Overseas collected \$1,941.56 from Claimants for “[t]erminal handling of shipment at port,” but has failed to produce any invoices from the originating terminals, supporting the charges. The charges comprise 1) \$531.29 for the first 20 foot container – Container No. MEDU3541892; 2) \$782.84 for the 40 foot container – Container No. TRLU8635197; and, 3) \$627.43 for the additional 20 foot container – Container No. SUDU1469202. While the Shipping Agreement entitles Overseas to collect terminal handling charges from Claimants, Overseas failed to show that they are actual charges from the terminals.

ii. Fuel Surcharge

Similarly, Overseas collected a fuel surcharge fee of \$2,533.47 from Claimants but failed to produce evidence corroborating the fuel surcharge. As in the previous instance, a fuel surcharge could be collected under the Shipping Agreement; however, Overseas has not proven that this was a valid charge from the vessel operator that transported Claimants’ goods.

iii. “Local Port Fees” at Destination, Customs Examination Charges, Parking Permits, “Blocking the Road” Charges and Additional Floors Charges

In addition, Overseas collected from Claimants “local port fees” and custom examination charges totaling 1,265 Euros, as well as an additional 650 Euros said to be for “blocking the road,” parking permit and for delivery charges for accessing the additional two floors to Claimants’ fourth floor apartment⁹ on Overseas’ first trip to deliver Claimants’ household goods. Overseas collected an additional 620 Euros for “blocking the road” charges, parking permit and the use of an “outside

9. Under the terms on the Shipping Agreement Overseas reserved the right to assess a fee for delivery to any floors above the second floor of a building.

elevator” for its second trip to complete the delivery of Claimants’ remaining goods. As evidence, Overseas submitted two storage charges from Mediterranean Shipping Company (“MSC”) in the amount of 52 Euros and 13 Euros for Container No. MEDU3541892 (the first 20-foot container) dated July 11, 2014, and July 31, 2014, respectively,¹⁰ an MSC invoice for 247 Euros for terminal handling charges on Container No. MEDU3541892; and an MSC invoice for 247 Euros for terminal handling charges on Container No. TRLU8635197 (the 40-foot container). Overseas also submitted an invoice from Hamburg SUD for destination charges on Container No. SUDU1469202 (the second 20-foot container). Finally, Overseas submitted invoices from its destination agent, WFR, as follows: Demurrage charges of 52 Euros for Container No. MEDU3541892,¹¹ an invoice in Dutch for charges in the amount of 85 Euros for Claimants’ motorcycle, for services unknown,¹² an invoice in Dutch for charges in the amount of 115 Euros for Claimants’ automobile, for services unknown; an invoice in the amount of 355 Euros for “local port fees;” another “local port fees” invoice in the amount of 355 Euros and 85 Euros for “Physical Custom Exam” [sic] for Claimants’ motorcycle; an invoice in the amount of 375 Euros for “additional floor fees” and “parking permit” in the amount of 275 Euros; a third invoice for “local port fees” in the amount of 355 Euros and 115 Euros for “Physical Custom Exam” [sic] for Claimants’ automobile; and, an invoice for “outside elevator from the Swiss local agent” in the amount of 620 Euros.¹³

10. Overseas did not pass on the storage charges to Claimants but submitted the invoices as an example of some the costs it allegedly incurred on behalf of Claimants.

11. This appears to be related to the storage charge from MSC which Overseas did not pass on to Claimants.

12. Pursuant to the Commission’s Rule at 46 C.F.R. § 502.7 a “document, exhibit, or other paper written in a language other than English” offered as evidence must be accompanied by an English translation copy verified under oath to be an accurate translation. Overseas failed to provide a translated copy.

13. Overseas also submitted MSC’s quayhire import rates for 1/1/2013.

Overseas submitted invoices from MSC corroborating its terminal handling charges at destination of 247 Euros on Container No. Container MEDU3541892; and another 247 Euros on Container No. TRLU8635197. Thus, Overseas is entitled to collect 494 Euros for the terminal handling charges. Additionally, as previously discussed, Overseas reserved the right under the Shipping Agreement to impose a fee for delivery to any floors above the second floor of a building. WFR imposed a fee of 375 Euros for the delivery to Claimants' fourth floor apartment and Overseas submitted the invoice as evidence. I thus find that Overseas is entitled to collect the charges for the additional floors for its first trip to partially deliver Claimants' goods. However, Overseas is not entitled to collect the second additional floor fee. As Claimants correctly note, Overseas' failure to deliver Claimants' goods on the first trip resulted from Overseas' poor management of the delivery process, not through any actions by Claimants. Similarly, consistent with my earlier finding that Overseas is not entitled to collect any charges for the second 20 foot container, I find that Overseas is not entitled to collect the terminal handling charges from Hamburg SUD for 223.75 Euros on Container No. SUDU1469202.

C. Lost and Missing Cargo Claims

Claimants allege that Overseas failed to deliver five items – 1) “the key that locks the Claimants’ wooden closet;” 2) pieces of assembly and several supporting legs of the Claimants’ master bed; 3) an Apple iPhone 1; 4) a Montblanc Meisterstück 149 fountain pen; and, 5) “a small unique antique statue of the Atomium in Brussels.” In addition, Claimants allege that many of their goods were damaged upon delivery. Claimants assess the value of the loss and damages as \$10,540.02.

The Commission has no jurisdiction to adjudicate claims relating solely to the loss and damage of cargo. The Carriage of Goods by Sea Act (COGSA), 46 U.S.C. § 30701 Note (2007), governs disputes arising from loss and damage of cargo “from the time when the goods are loaded [on a vessel] on to the time when they are discharged from the ship.” *Norfolk Southern Ry. Co. v. Kirby*, 543 U.S. 14, 29 (2004). Under COGSA, jurisdiction to adjudicate loss and damage claims arising from transportation by ocean is vested in the federal district courts. Moreover, Claimants purchased insurance for their cargo and indicate that they have filed a claim with the insurance company for their damages. They are not entitled to double reimbursement for the same damages.

D. Remaining Allegations

Claimants’ further allege that Overseas refused to communicate with them regarding the status of their shipment, “made an unwarranted delivery delay,” converted their property in bad faith and caused Claimants to face increased risks and penalties. Claimants’ allegation that Overseas refused to communicate with them is contradicted by Claimants’ own statement that Overseas gave them different estimated delivery dates each time they inquired about the status of their shipment, and that an Overseas representative told them their shipment could not be delivered in one trip because Overseas did not have a large enough truck. Also, while Overseas’ delivery of the goods in partial batches leaves much to be desired, “it is unlikely that mere delay in shipping the cargo would amount to a violation of section 10(d)(1) of the Shipping Act, 46 USC §41102(c). [As p]revious cases have found a Shipping Act violation for prolonged delay only when additional factors are present, such as a pattern of deception.” *Meyan S.A. v. International Frontier Forwarders*, 30 S.R.R. 1398, 1400 n.2 (FMC 2007). While Overseas gave different estimated delivery dates when Claimants inquired about the status of their shipment, it appears that the changes in delivery dates

resulted more from Overseas' poor management of the cargo delivery rather than an intent to deceive Claimants. I also note that the dates given to Claimants were estimated delivery dates rather than a guarantee. In light of these conclusions, I also find that Claimants are not entitled to recover their \$3,000 claim "for necessary living expenses." In addition to failure to prove a violation of the Shipping Act with regard to their delayed delivery claim, Claimants also failed to submit any evidence corroborating that they purchased items related to their claim for "necessary living expenses," what those items might have been, and their value.

Similarly, Claimants failed to submit any evidence supporting their allegation that Overseas converted their property. Even if it were presumed that Claimants were referring to the five items they claim were never delivered, nothing in the record indicates that the missing items were misappropriated by Overseas. Claimants' other allegations that Overseas failed to register their motorcycle at Swiss Customs, and exposed Claimants to increased fees and penalties, as well as their allegation that Overseas forged their Swiss Customs form suffers from the same flaws – no evidence was submitted to back up the allegations. Claimants believe that Overseas must not have cleared their motorcycle through Customs because Overseas failed to provide them the clearance documentation, not based on any concrete evidence that Overseas failed to clear the motorcycle through Customs. Further, when asked to prove their claim that Overseas forged the Swiss 18.44 importation form for their car, Claimants could not, explaining that unfortunately, they did not keep a copy of the document that would have served as evidence. "A claim for reparations must be shown by competent evidence and with reasonable certainty." *Brewer v. Maralan*, 29 S.R.R. 6, 10 (FMC 2001) (citing *California Shipping Line, Inc. v. Yangming Marine Transp. Co.*, 25 S.R.R. 1213 (FMC 1990))

E. Reparations

Claimants request reparations in the amount of “at least \$42,434.43, plus incidental fees and accruing attorney’ fees, above what they contracted to pay the Respondent.” The evidence, which Overseas did not dispute, shows that Claimants made four payments to Overseas comprising \$4,500 on April 22, 2014, \$32,390.03 on June 30, 2014, 1915 Euros (\$2,570.22¹⁴) on August 5, 2014, and 620 Euros (\$802.21) on September 9, 2014, totaling \$40,262.46. Consistent with my earlier conclusions, I find that Overseas was only entitled to collect \$22,415.25, reflecting: 1) the quoted rate amount of \$17,575; 2) the insurance purchased by Claimants in the amount of \$3,665; 3) the destination terminal charges invoiced by MSC in the amount of 494 Euros (\$671.94); and, 4) the first additional floor fee in the amount of 375 Euros (\$503.31). Claimants are thus awarded reparations in the amount of \$17,847.21, the difference between the \$40,262.46 amount Claimants paid and the \$22,415.25 amount Overseas was entitled to collect.¹⁵

IV. CONCLUSION

Overseas is found to have violated Section 10(d)(1), 46 U.S.C. § 41102(c) of the Shipping Act of 1984. Claimants are granted reparations against Respondents in the amount of \$17,847.21. Claimants’ remaining allegations are dismissed.

Claimants are entitled to receive compound interest on the monetary award starting from June 30, 2014, in accordance with Rule 253 of the Commission’s Rules of Practice and Procedure,

14. The currency conversion tool at the website www.oanda.com/currency/converter was used to determine the exchange rate and US dollar equivalent amount on the date the payments were made.

15. Under the Commission’s Rules, “[p]etitions for attorney’s fees shall be filed within 30 days of a final reparation award.” 46 C.F.R. § 502.254(c).

and will receive notice of the amount to be paid as interest when the Commission issues its final action in this proceeding.

Theresa Dike

A handwritten signature in blue ink, appearing to read 'Theresa Dike', with a stylized flourish at the end.

Small Claims Officer